

Management Discussion and Analysis



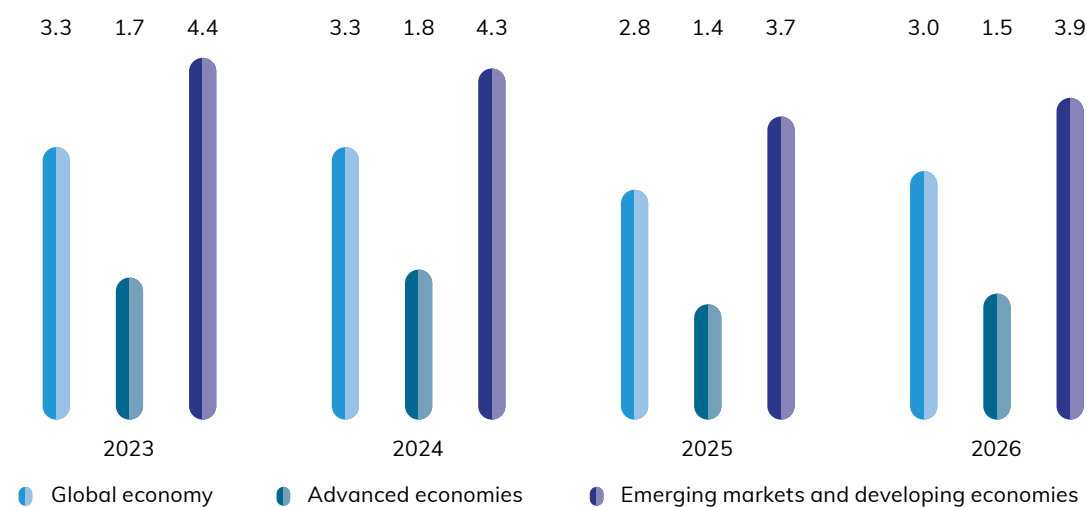
ECONOMIC OVERVIEW

Global Economy

In 2024, the world economy grew 3.3% maintaining the pace of growth amidst geopolitical tensions. The growth was not uniform across countries with robust momentum

in the US in contrast to slower growth witnessed in the Euro region. Global disinflation continued, with progress stalling in some countries and elevated inflation continued in a few cases.

Global GDP growth (% y-o-y)



In 2025 and 2026, growth is projected at 2.8% and 3% respectively, led by the swift escalation of trade tensions and extremely high levels of policy uncertainty. A series of new tariff measures have been announced and implemented by the United States with countermeasures by its trading partners, especially China. However, the US announced a 90-day pause on import duties for most of the countries, and both US and China have agreed to a tariff reduction thereby easing trade tensions between both the countries for the said period. These tariff measures have raised concerns over a global trade war. As prices become volatile, global commodity market is grappling with new challenges. The uncertainty created by trade wars impacts supply chains and global economic growth. Easing tensions in the Middle East and a ceasefire among nations are expected to have a positive impact on the global economy.

Increasing debt burdens, weak investment and sluggish productivity growth, coupled with rising costs of climate change is likely to dampen growth in emerging markets and developing economies. High global policy uncertainty could undercut investor confidence and constrain financing flows. Rising trade tensions could reduce global growth. Persistent inflation could delay expected cuts in interest rates.

(Source: IMF Economic Outlook, April 2025; World Bank Global Economic Prospect, January 2025)

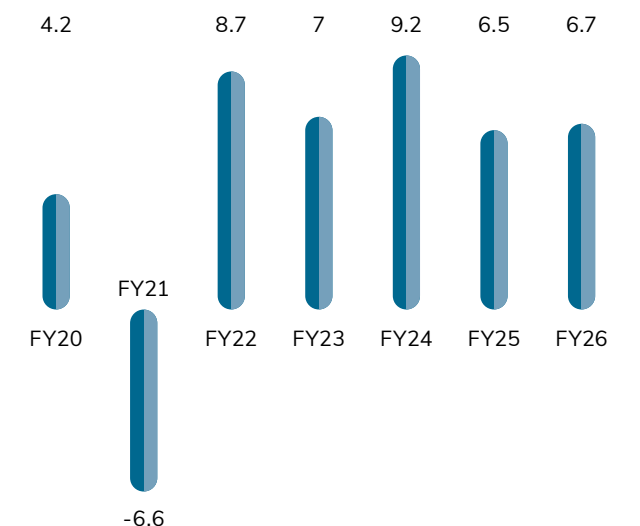
Indian Economy

Indian economy has emerged as one of the fastest-growing major economies in the recent past. This robust growth amidst weak global economic growth is attributable to strong domestic demand, structural reforms and policy support. As per the Second Advance Estimates of GDP, India's GDP growth is expected at 6.5% in FY2025, much lower than 9.2% GDP growth in FY2024. Manufacturing, services and infrastructure investment sectors witnessed good traction. Slower GDP growth in the first half of the year is attributable to lower industrial activity. Election uncertainties in the first quarter followed by a modest activity in construction and manufacturing in the subsequent quarter due to weather-related disruptions led to weaker-than-expected gross fixed capital formation. Strong export growth was seen in pharmaceuticals, textiles and engineering goods.

Inflation continued to persist in FY2025 led by global supply chain disruptions and commodity price volatility. The RBI's Monetary Policy Committee (MPC) retained a neutral stance and reduced the repo rate by 25 basis points to 6.0% on April 10, 2025, the second cut in 2025. Consumer Price Index (CPI) inflation for FY2025 is projected at 4.7% as compared to 5.4% in FY2024. Inflation in March 2025 was at 3.3%, lowest since August 2019.

Economic growth has received major boost by the government's push for digital transformation, financial inclusion and ease of doing business. There has been substantial rise in foreign direct investment (FDI) due to the production-linked incentive (PLI) schemes aimed at boosting domestic manufacturing. Building on this positive momentum, the RBI has estimated the Indian economic growth rate of 6.7% in FY2026. Healthy Rabi prospects and an expected recovery in industrial activity, coupled with heightened household consumption aided by tax reliefs in Union Budget 2025-26, is expected to support economic growth in FY2026. However, the rising cross border tensions stands out as a key concern.

Indian GDP growth (% y-o-y)



(Source: Ministry of Statistics & Programme Implementation)

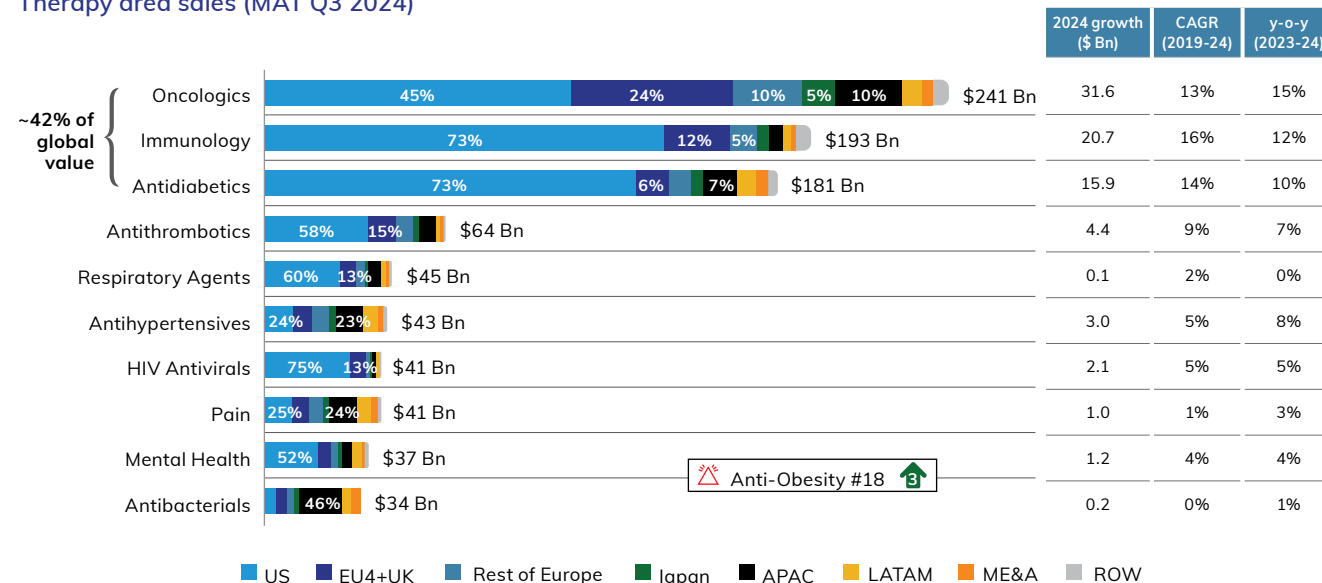
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INDUSTRY OVERVIEW

Global Pharmaceutical Industry

The global pharmaceutical market is estimated at US\$ 1,764 billion in 2024, up 6.2% from US\$ 1,661 billion in 2023. The market growth can be attributed to various factors including the rising prevalence of chronic conditions such as cancer, diabetes, and neurological disorders.

Therapy area sales (MAT Q3 2024)



Notes: Growth rates at constant exchange rates; COVID-19 vaccines & treatments excluded; all data is MAT Q3; Obesity is currently ranked at therapy area 18 by total sales (3 places higher than the previous quarter) Source: IQVIA EMEA Thought Leadership: IQVIA MIDAS MAT Q3 2024: Rx-only

IQVIA Quarterly Pharmaceutical Market Outlook Newsletter | Q3 2024

Growth enablers

- Chronic conditions:** The rising prevalence of chronic conditions, such as cancer, diabetes, and others, is leading to an increased patient population in the healthcare system.
- Ageing population:** Nearly 80% of all adults over 65, globally, have at least one chronic condition. The growing geriatric population is resulting in a rising prevalence of age-related disorders, such as rheumatoid arthritis, cardiovascular disorders, and others. Global life expectancy rose from 70 years in 2008 to 72 years in 2022 and is expected to continue to grow. The World Health Organisation estimates that the global population aged 60 and older is expected to reach 2.1 billion by 2050.
- Rapid urbanisation:** This also contributes to growth in pharmaceutical markets. People residing in cities account for over 56% of the global population, which is expected to rise by 2050 when 70% population is likely to be living in cities. City life promises access to reliable infrastructure, medicines and medical care.
- Consumer healthcare:** This dynamic segment is witnessing accelerated growth driven by aggressive marketing strategies leading to increased demand for non-prescription medicines, including popular products for cough, cold, pain relief, and nutritional supplements.
- Specialty pharmaceuticals:** Focussing on complex treatments like biologics and oncology therapies, these high-margin products are expected to witness fast-paced growth in the coming decade.
- Novel drug therapies:** New therapies for chronic diseases and the surge in GLP-1 obesity drugs especially in developed nations are expected to drive prescription drug sales in the near future. With evolving novel drug therapies, it is expected that in the coming decade, many chemotherapies will be replaced by novel technologies, such as antibody-drug conjugates, which deliver a potent cancer-killing drug directly into the cancer cells, limiting damage to healthy cells.
- Emerging markets:** While established developed markets continue to lead the growth in the pharmaceutical market, emerging regions present untapped opportunities due to their low reach of medicines and technology.
- E-commerce and online pharmacies:** Allowing fast paced and easy access to medications and medical services, e-commerce and online pharmacies

offer convenience through digital prescription management and rapid delivery services. The global online pharmacy market, valued at over US\$ 100 billion in 2023, is on track for significant expansion in the coming decade.

Led by these factors and growing awareness of importance of health and hygiene, the market is projected to reach US\$ 2,251 billion by 2028, growing at 6.6% CAGR.

Latest trends transforming the market

Post Covid, the pharmaceuticals market has been undergoing a major transformation led by automation and renewed focus on R&D. There has been a significant impact of digitalisation and integration of AI tools and solutions especially in R&D activities. Areas like clinical trials and drug development are witnessing substantial use of AI tools and solutions revolutionising these processes. The decentralisation of clinical trials and automation are aiding the development of novel drugs and therapies. The role of digital technology in drug development and precision medicine is inevitable.

AI is transforming medical R&D; and machine learning, deep learning, and neural networks have revolutionised drug design, target identification, and clinical trial predictions. AI has boosted R&D by identifying new therapeutic targets, improving chemical designs, and predicting complicated protein structures. Generative AI is accelerating the development and re-engineering of medicinal molecules to cater to both common and rare diseases.

US market

The US pharmaceutical market has seen robust growth led by advancements in therapeutics and a robust product pipeline. The U.S. pharmaceutical market size, estimated at USD 634 billion in 2024 is expected to witness

5.72% CAGR from 2025 to 2030, to reach an estimated value of USD 884 billion by 2030. This growth can be attributed to the rising prevalence of chronic diseases, increasing geriatric population, growing healthcare expenditure by government organisations, and extensive efforts to improve the affordability & accessibility of pharmaceuticals. Significant investment in R&D has been a pivotal driver of market growth.

Pharmerging markets

There has been robust growth in demand for pharmaceuticals in pharmerging markets, led by the rising aging population, the growing prevalence of chronic diseases such as diabetes, cardiovascular diseases, and cancer. Steady improvement in access to healthcare, and the escalating government initiatives are some of the factors driving market growth in pharmerging and lower income countries.

(Source: Fortune Business Insights; Artificial intelligence in drug development: reshaping the therapeutic landscape - Sarfaraz K. Niazi, Zamara Mariam, 2025; The 3 megatrends that will shape the future of health | World Economic Forum; The state of the Pharmaceutical Industry: Growth Drivers, AI Disruption, and Competitive Strategies - Shaping better decision-making worldwide - Dialectica; U.S. Pharmaceutical Market Size | Industry Report, 2030)

Indian Pharmaceutical Industry

The Indian pharmaceutical industry is currently valued at US\$ 58 billion, broadly with equal contribution from exports and domestic market¹. At present, low-value generic drugs constitute a large part of Indian exports. India accounts for ~3.5% of total drugs and medicines exported globally, and exports pharmaceuticals to more than 200 countries and territories. India is the world's largest provider of generic medicines, with a 20% global supply share by volume.



1. As per Indian Pharma Alliance

India's pharmaceutical industry often referred to as the 'Pharmacy of the World', encompasses a broad range of segments, including generic drugs, over-the-counter (OTC) medicines, bulk drugs, vaccines, contract research, biosimilars, and biologics. The Indian pharmaceutical market (IPM) ranks third in production by volume and 14th by value in the global pharmaceutical market. India's pharmaceutical exports rose from US\$ 15 billion in FY2014 to US\$ 27.85 billion in FY2024. India is the world's leading vaccine exporter, supplying 65-70% of the World Health Organisation's (WHO) vaccine requirements, particularly for DPT, BCG and measles. With such major contributions and growing China plus one strategy among large pharmaceutical markets, India is cementing its position as a key global pharmaceutical supplier.

IPM boasts of being a well-established domestic sector comprising approximately 3,000 drug companies and over 10,000 custom manufacturing units. India has a complete ecosystem for the development and manufacturing of pharmaceuticals, with state-of-the-art manufacturing facilities and ample availability of low cost skilled/ technical manpower. India boasts of several pharmaceutical educational and research institutes.

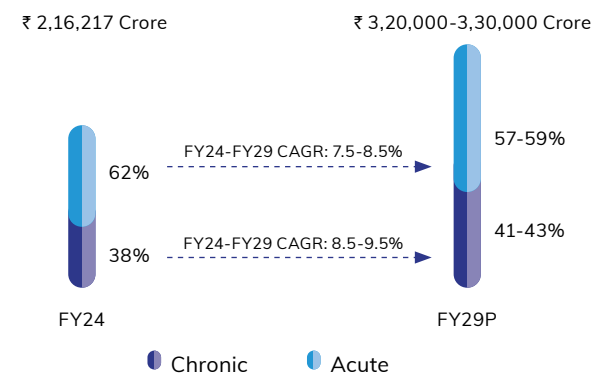
Indian pharmaceutical companies play a crucial role in the prescription markets of the US and EU, with over 650 US Food and Drug Administration (FDA)-approved manufacturing facilities operating in India. India supplies 40% of the US generic drug market and 25% of all medicines in the UK.

The domestic formulation industry is further split into the chronic therapies segment and acute therapies segment. The chronic segment mainly comprises of anti-diabetic,

World's largest provider of generic medicines, with a 20% global supply share by volume

cardiovascular, oncology, etc. The acute segment is composed of anti-infectives, gastro-intestinal, pain and analgesics etc. As of FY2025, the IPM was valued at ₹ 2.33 lakh crore of which chronic therapies and acute therapies constituted 39% and 61% of the total domestic formulation market, respectively.

Chronic Vs Acute split in Indian domestic formulation market



Notes: P-Projected, Historic data for FY2024 CRISIL analysis based on Indian Audit-IQVIA TSA data, Projections are as per CRISIL MI&A estimates

Sources: India Audit-IQVIA TSA Sept 2024, reflecting estimates of real-world activity. Copyright IQVIA. All rights reserved; CRISIL MI&A

Anti-diabetic and cardiovascular were some of the largest therapeutic segments in chronic therapies segment, together accounting for ~20% share of the Indian domestic formulation market. In the acute segment, anti-infectives, gastro-intestinal and pain and analgesics are some of the largest therapeutic areas. Amongst the two, the chronic therapies segment is expected to grow slightly faster at 8.5-9.5% CAGR over FY2024 to

FY2029 as compared to the acute therapies segment which is expected to grow at 7.5-8.5% CAGR in the same period. The higher growth in the chronic segment is attributable to factors such as rising incidence of lifestyle-related diseases, and better healthcare, diagnostic and hospital infrastructure, resulting in improved disease detection rate.

Key therapy areas in domestic formulation market

Therapy Name	Share in total market FY19	Share in total market FY24	Share in total market FY29P	CAGR (FY19 to FY24)	CAGR (FY24 to FY29P)
Cardiovascular	11.8%	12.5%	13.4%	11.0%	10.0-11.0%
Anti-Infectives	12.0%	11.2%	10.7%	8.4%	7.5-8.5%
Gastrointestinal	10.3%	10.6%	10.5%	10.4%	8.5-9.5%
Anti-Diabetic	9.5%	8.9%	9.5%	8.3%	10.0-11.0%
Vitamins/Minerals/Nutrients	7.8%	7.8%	8.0%	9.7%	9.0-10.0%
Respiratory	8.0%	8.2%	8.4%	10.6%	9.0-10.0%
Pain/Analgesics	7.7%	8.0%	7.7%	10.6%	7.5-8.5%
Derma	7.6%	6.9%	6.6%	7.5%	7.5-8.5%
Neuro/CNS	5.9%	6.0%	6.0%	10.2%	8.0-9.0%
Gynaecological	5.0%	5.0%	5.1%	9.9%	8.5-9.5%

Notes: P-Projected, Historic data from FY2019 to FY2024 CRISIL analysis based on India Audit-IQVIA TSA data, Projections are as per CRISIL MI&A estimates

Sources: India Audit-IQVIA TSA March 2020, India Audit-IQVIA TSA Sept 2024, reflecting estimates of real-world activity. Copyright IQVIA. All rights reserved; CRISIL MI&A



Key growth drivers for the IPM

Improving life expectancy

- Life expectancy has increased from 69.3 years in FY2019 to 70.6 years in FY2024
- This has resulted in growth in demand for pharmaceutical products and services

Ageing population

- Demographic profile in India is steadily moving towards higher elderly population
- Chronic ailments are commonplace among the elderly
- 30+% of the elderly women and 28% of the elderly men suffered from one chronic morbid condition
- ~25% of elderly suffered from more than two morbid conditions

Growing prevalence of chronic diseases

- Higher urbanisation, growing awareness on healthcare, and greater penetration of services lead to rise in chronic diseases
- 28% of all deaths were attributed to cardiovascular diseases in India in 2021
- 101 million people in India - 11.4% of the country's population - are living with diabetes as per recent Lancet study

Robust growth in e-commerce/online pharmacies

- Market size of online pharmacies has increased from ₹ 3,800 crore in 2019 to ₹ 6,000 crore in 2023 and is estimated to grow 4x by 2030 to ₹ 24,000 crore
- Currently online pharmacies cater mainly to metros and tier 1 cities and have huge scope of growth to expand business in rural areas

(Source: Detailed Report - Changing Dynamics of Indian Pharma Supply chain)

Changing lifestyle choices

- Poor eating habits and increasing stress levels lead to early onset of ailments
- Busy schedules leave little time for exercises

Rising need for quality healthcare services

- NNI per capita in India grew from ₹ 94,054 in FY2022 to ₹ 99,404 in FY2023 to ₹ 1,06,774 in FY2024
- Rising income levels coupled with growing health awareness has led to greater need for quality healthcare services
- There has been a steady growth in need for better hospital, medicine and pharmacy services
- The ratio of physicians per 1,000 people in India was 0.73 as in 2020 which is significantly less as compared to other Asian countries with Japan at 2.61, China at 2.39 and Singapore at 2.51. Realising the growing need for doctors in the country, the government has been focussing on increasing the number of medical colleges, MBBS seats, etc.

Improvement in health insurance penetration

- ~550 million people had health insurance coverage in FY2023 as compared to 288 million as of FY2015
- However, health insurance penetration in India was only 39% in FY2023
- Growing awareness for healthcare and government-sponsored schemes is promoting the health insurance sector
- Health insurance penetration in India is expected to reach ~46% in FY2025

Growing trade generics segment

- Trade generics were estimated at ₹ 24,000 crore, accounting for 10% of the IPM has witnessed a growth of 14.9% CAGR over FY2019-FY2023
- Growing retail competition and margin pressures have led channel partners to actively promote Trade Generics
- The segment is dominated by acute therapy

Source: Detailed Report - Changing Dynamics of Indian Pharma Supply chain

Key government policies aiding pharmaceutical R&D and exports

As India aims to expand its global market share, meeting international quality standards like those set by the US FDA and the EMA is crucial. The government has taken various measures to support the sector like the PLI scheme and Strengthening of Pharmaceuticals Industry (SPI) among others. The government has tightened regulations and inspections to ensure adherence to Good Manufacturing Practices (GMP). This has led to improved manufacturing processes and quality control measures within the industry. The adoption of advanced technologies like automation, data analytics, and Artificial Intelligence is enhancing quality control processes and enhancing process efficiency. Joining the Pharmaceutical Inspection Co-operation Scheme (PIC/S), an international association of 56 regulatory authorities, represents a strategic opportunity for India. By aligning India's GMP standards with international benchmarks, PIC/S membership will boost trust in Indian pharmaceuticals.

In the Union Budget 2025, there was a clear focus on improvement of medical infrastructure, expansion of medical education, promotion of medical tourism and 'Heal in India' campaign and boost to private sector-driven R&D and innovation. The government has announced setting up of Day Care Cancer Centres in all district hospitals over the next 3 years, with 200 such centres planned for FY2026. The government announced several exemptions and concessional duty on essential medicines to improve drug access to critical treatments across the country. Focus on expansion of medical education and funding research fellowship, will help strengthen the overall healthcare workforce, infrastructure and push for innovation. Additionally, broadband connectivity to all Primary Health Centres (PHCs) will enhance rural healthcare delivery through telemedicine. Government's strong focus on medical tourism, healing in India, increased FDI limit in the insurance sector and nutritional programmes will enable strengthening of public health. The National Pharmaceutical Pricing Authority (NPPA), under the Department of Pharmaceuticals (DoP), is responsible for fixing the ceiling prices of medicines listed in the National List of Essential Medicines (NLEM). As of March 12, 2025, the ceiling prices for 928 scheduled formulations and

Indian pharmaceutical companies play a crucial role in the prescription markets of the US and EU, with over 650 US Food and Drug Administration (FDA)-approved manufacturing facilities operating in India.



the retail prices for over 3,200 new drugs have been set by the NPPA. The latest fixation and refixation of prices under the NLEM has led to an average price reduction of approximately 17%, resulting in an estimated annual savings of ₹ 3,788 crore for patients across the country.

The government is undertaking several other measures to boost overall growth of IPM. In 2008, the Jan Aushadhi Yojana was launched to increase the uptake of low-cost, unbranded, but quality generic medicines to all citizens via stores called Jan Aushadhi Kendras. Government's Ayushman Bharat PM-JAY, the largest health assurance scheme in the world, aims to provide a health cover of ₹ 5 lakh per family per year for secondary and tertiary care hospitalisation to over 107.4 million poor and vulnerable families comprising the bottom 40% of the Indian population.

Outlook

The Indian pharmaceuticals industry also stands to benefit from the patent cliffing of 20-25 high-revenue drugs due in FY2026, with Indian companies introducing more affordable alternatives. For example, on March 11, 2025, the patent on Boehringer Ingelheim's version of Empagliflozin expired, allowing Indian pharma firms to introduce alternate low-priced versions. In a huge relief to over 10 crore diabetes patients in India, the cost of Empagliflozin, an essential anti-diabetic medicine, decreased from ₹ 60 to ₹ 9 per tablet due to patent cliffing. In the coming years, several more patents will expire including the GLP-1 drug from Novo Nordisk set to expire in March 2026.

Between 2023 and 2029, patents for more than 100 critical drugs used in treating cancer, diabetes, cardiovascular diseases, and autoimmune disorders will expire. These drugs collectively account for a significant portion of the global pharmaceutical market, with total annual sales exceeding US\$ 300 billion.

Further in Women's Health, India has witnessed a significant surge in In Vitro Fertilisation (IVF) services, attributed to various factors such as late marriages, increased pregnancy age, growing infertility rates, rising disposable income, and greater awareness about infertility treatments. As per the current market research conducted by the CMI Team, Indian IVF services market is expected to record a CAGR of 16.23% from 2025 to 2034 with market size anticipated to reach USD 4,915.01 million.

Combined together, there remains a huge growth opportunity for Indian pharma companies which have a stronghold on generics. India's pharmaceutical industry is estimated to reach US\$ 120-130 billion by 2030 and US\$ 400-450 billion by 2047 led by rising lifestyle diseases, an aging population, increased focus on holistic health, strong government push and the growing consumerisation of healthcare. With rise in streamlining of regulatory reforms in India, there is expected to be substantial growth in R&D and innovation.

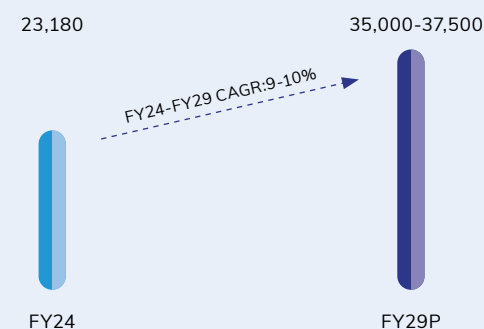
(Source: Investing in India's Pharmaceutical Industry: Key Growth Prospects,; Factsheet Details: NLEM Price Revisions Save ₹ 3,788 Crore for Patients in 2025), Company

Consumer Healthcare Industry in India

The Indian consumer healthcare industry (CHI) comprises segments such as (i) vitamins/minerals/nutrients, (ii) Over the Counter (OTC) products across therapy areas like gastrointestinal, derma, analgesics etc., and (iii) Condoms and contraceptive products and other traditional/herbal products. In FY2024, the market (consisting of product segments Vitamins and Dietary Supplements, Antacids, Condoms, Acne Preparations, Emergency Contraceptives, Pregnancy Tests) stood at ₹ 23,180 crore. The market is expected to grow at 9-10% CAGR between FY2024 and FY2029 driven by easy availability, affordability and growing awareness. The rising availability of consumer healthcare products in retail pharmacy outlets and e-commerce websites bodes well for the CHI market in India.

Indian consumer healthcare segment market size*

(₹ Crore)



Note: P-Projected

*-Following categories have been considered for arriving at the Indian consumer healthcare segment i) Condoms ii) vitamins/minerals/nutrients iii) Acne Preparations iv) Emergency Contraceptives v) Antacids vi) Pregnancy Tests

FY2024 data -CRISIL analysis based on IQVIA data sources mentioned below, projections are as per CRISIL MI&A estimates



Key drivers for Indian consumer healthcare segment



Growing consciousness for health and medication

The attention on health and nutrition has increased manifold. People are more conscious towards ensuring adequate immunity and energy levels to address the general health concern.



Increasing retail pharmacy and distribution network

In the pharmaceutical supply chain, pharmaceutical retailers and distributors are crucial in providing last-mile connectivity. For consumer healthcare products, expanding pharmaceutical retail and distribution network especially in the hinterlands have improved access to OTC products in these regions. Additionally, emergence of e-pharmacies coupled with rising penetration of internet has also provided push for these products to reach wider consumer base.



Strong push by healthcare companies

An increased push by consumer healthcare companies for their products have also provided a boost from supply side for the market.



Increasing Awareness for self-medication

Post pandemic people have been increasingly opting for self-care options to take control of their health. This trend of self-medication is mainly seen in the cough and cold, gastrointestinal, analgesics, multivitamins and derma/skincare segments.



Rise in lifestyle diseases is increasing the OTC drugs demand

The increase of lifestyle disease occurrences among the growing elderly as well as young population is driving demand for OTC drugs like digestives/gastro along with mild analgesics.



Innovation on product development and marketing

Given the lucrative growth prospects of CHI in India, companies are focussing on new product development to deepen their portfolio. Marketing and brand creation have gained increased traction with companies focussing on local issues for promotions especially in the rural areas.

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COMPANY OVERVIEW

Mankind Pharma Limited (hereafter referred to as 'Mankind' or 'the Company') is engaged in developing, manufacturing and marketing a diverse range of pharmaceutical formulations across various acute and chronic therapeutic areas, as well as several consumer healthcare products with the aim of providing quality products at affordable prices, accessible to all.

Since commencement of business in 1995, the company has pursued a disruption-led growth, securing market leading positions. The Company began by addressing the unmet need for affordable medicine in rural and smaller towns, where healthcare was not easily accessible and often very expensive. After developing a strong foothold in one state, the company gradually expanded to neighbouring states and ultimately established a pan-India presence.

Having established a credible presence in the Indian Pharmaceutical Market (IPM), the company aspired to make the Mankind brand a household name. In pursuit of this vision, the Company entered the consumer healthcare segment in 2007 with the launch of category-disrupting brands such as Manforce and Prega News.

Between 2012 and 2015, the Company established a state-of-the-art R&D centre and expanded globally by setting up subsidiaries in the US and Singapore. Demonstrating our commitment to quality, we received USFDA approval for our Paonta Sahib facility in Himachal Pradesh in 2018-19. In the same year, backed by a team of experienced scientists, we became the first Indian company to manufacture and launch 'Dydrogesterone'.

By 2020, while we had developed a strong penetration among GPs, CPs, our reach amongst MDs, DMS, and KOLs remained limited and required focussed attention. Recognising this gap, we adopted initiatives to further expand our presence in chronic by launching 10+ specialty divisions headquartered in Mumbai, targeting cardio vascular, respiratory, CNS, and Anti-diabetes therapies etc.

While most of the growth of Mankind has been primarily organic, the Company has also entered strategic tie-ups for business expansion including, acquisition of brands like Combihale (respiratory) and Daffy (dermatology) from Dr. Reddy's Laboratories. The Company also acquired brands from Panacea Biotech to foray into difficult-to-enter specialties like transplant and oncology. Additionally, it has also entered into an exclusive distribution agreement to sell Symbicort, one of the most advanced inhalers for asthma in-licensed from AstraZeneca in India. The Company also has other strategic in-licensing deals with Novartis, Biocon, Innovent Biologicals and Takeda for speciality products.

The strong brand equity is a result of superior quality value product offering which meets stringent quality parameters. In line with our commitment towards providing quality products, we launched DMF (Drug master file) / International grade quality products in India, till now we have launched 240+ products under this initiative with majority of them being in Chronic. Further, we are also focussing on innovative packaging of our products which not only increases customer satisfaction but also helps counter chances of counterfeit products.

By 2024, the Company had undertaken several initiatives to expand its presence in the super-specialty segment. However, the acquisition of BSV in October 2024 marked a significant leap forward, enabling entry into complex super-specialty therapies and access to an advanced R&D platform supported by a highly experienced scientific team.

Currently, in pharmaceuticals, the portfolio caters to 10+ acute & chronic therapeutic areas including anti-infectives, cardiovascular, gastrointestinal, gynaecology, anti-diabetic, neuro/CNS, VMN, respiratory, etc.

In Consumer Healthcare, the Company offers several differentiated brands in condoms, pregnancy detection, antacid powders, vitamin and mineral supplements, oral contraceptives, anti-acne preparations categories, etc.

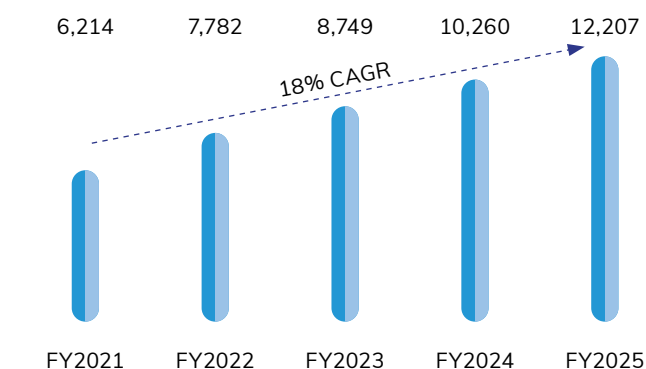
We have laid a strong foundation for Mankind's long-term sustainable growth, powered by our four pillars:



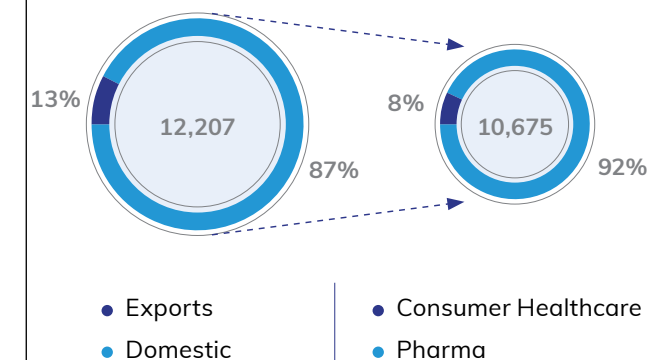
The Company has 32 state-of-the-art manufacturing and 6 R&D facilities with over 95% raw materials being locally procured. Over 75% in-house manufacturing enables Mankind to have a stringent control on quality, ensure timely deliveries and efficient supply chain management with limited dependence on imports. The Company has an installed capacity of 44+ billion units across its globally accredited manufacturing facilities. Its strong team comprises of 5,100+ manufacturing personnel and 730 scientists, of which 73 hold PhDs.

Revenue growth in % y-o-y

Revenue* (₹ Crore)



Segmental revenue break-up



#1

in prescriptions over last 8 years¹

#4

by Value with MS¹ of 4.8%

#2

by Volume with MS¹ of 6.0%

4

consumer brands ranked 1 in their respective categories¹

49/23/11

brands > ₹ 50 / 100 / 200 Cr¹

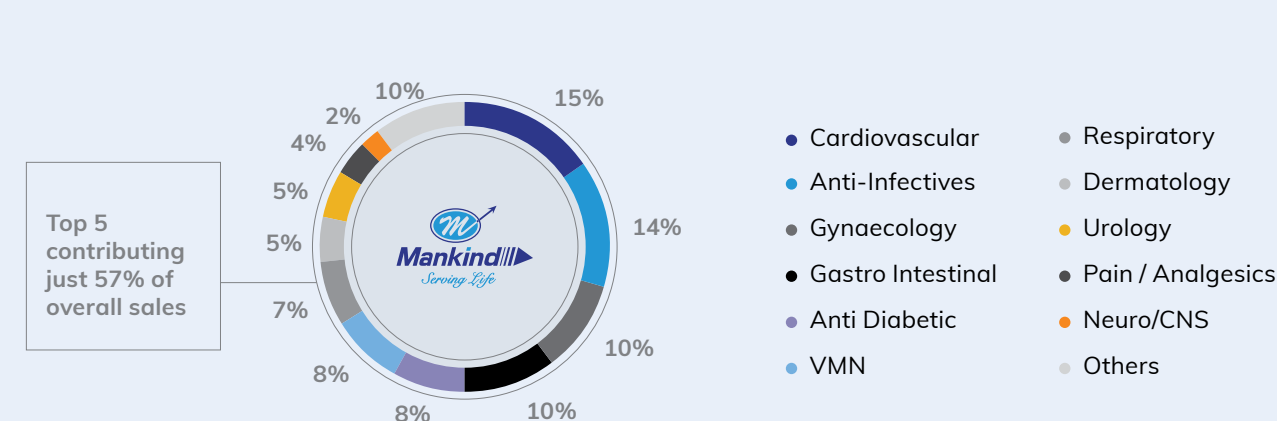
16,000+
stockists

17,700+
field force

5 lakh
doctors

55%
metro share¹

Therapy-wise Sales Mix^{1 2}

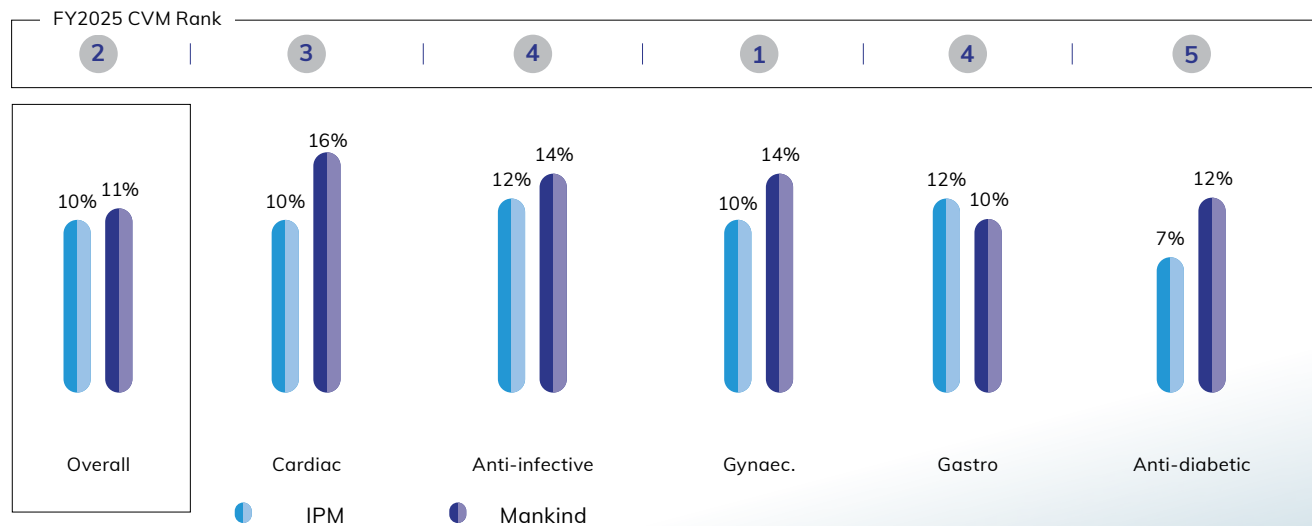


Note: FY2024 and FY2025 Revenue data are for continuing operations only and hence prior period numbers are strictly not comparable.

1. As per IQVIA MAT Mar'25

2. The total of the pie chart is not adding to 100% since the decimal numbers are rounded off

Growth across Therapies (FY2021 to FY2025)¹



1. As per IQVIA MAT Mar'25

Top 20 brand performance¹

Brand	FY25 Sales (₹ crore)	CAGR 21-25	MS FY25	Rank FY25
MANFORCE	538	20.8%	82.6%	1
MOXI KIND-CV	390	15.8%	10.5%	3
AMLOKIND-AT	273	13.5%	37.8%	1
UNWANTED-KIT	248	11.3%	58.2%	1
PREGA NEWS	229	14.8%	81.5%	1
DYDROBOON	222	27.2%	17.3%	2
GUDCEF	205	17.8%	15.8%	2
CANDI FORCE	198	1.3%	19.7%	1
GLIMESTAR-M	196	8.2%	5.7%	1
TELMIKIND-AM	172	24.8%	18.0%	2
NUROKIND-GOLD	172	12.0%	22.2%	1
TELMIKIND-H	157	13.2%	16.2%	2
NUROKIND-LC	145	8.5%	89.1%	1
TELMIKIND	144	11.5%	11.1%	2
VOMIKIND	141	21.1%	27.5%	2
CEFAKIND	136	16.3%	15.2%	2
NUROKIND PLUS-RF	134	3.1%	60.6%	2
GUDCEF-CV	123	18.4%	23.1%	1
MONTICOPE	117	14.2%	16.1%	3
ASTHAKIND-DX	109	21.8%	7.9%	2

Digital transformation across verticals has been a key differentiator for Mankind which has improved operational efficiency, cost optimisation and automation.

- The Project PACE integrates advanced technologies to optimise the procurement process.
- Adapt enables streamlining supply chain operations.
- Project Wave helps in optimising warehouse management to enhance warehouse and distribution centre infrastructure, integrate advanced systems for real-time visibility of stock point operations, improve operational efficiency and automate processes such as dispensing and transportation services.

Looking ahead, the Company's journey is built on four strategic pillars – 1) steady base business, 2) fast growing specialty chronic segment, 3) high potential OTC business, and 4) BSV's high-entry barrier super specialty complex portfolio, ensuring balanced, scalable and long-term sustainable growth.

HUMAN RESOURCES

Human capital is considered crucial for organisational growth and business continuity. The Company maintains a safe, conducive and productive work environment. The HR team continues to invest in strategic training, skill development and leadership development programmes for its employees through a dynamic learning culture, training programmes and external coaching. It ensures employee goals are aligned with organisational goals. Robust HR practices act as effective tools to attract and retain talent. The Company recruits competent talent through campus and lateral hiring, leveraging its brand recognition. The Company fosters a learning culture and motivates employees by maintaining a healthy culture of diversity and inclusion. The Company ensures equal opportunities are offered to all employees. In keeping with changing times, various technological advancements have been incorporated within HR team functioning.

As on March 31, 2025, the Company had ~27,000 employees across domestic and overseas operations.

To read more about this, please read the Human Resource chapter on page 58

The Company has launched next-generation AI-based modules in sales force automation tool to enhance doctor engagement of medical representatives.

1. As per IQVIA MAT Mar'25

SWOT Analysis

Strengths

- Quality
- Affordability
- Accessibility
- Execution excellence

Weaknesses

- Dependency on API prices
- Limited presence in specialty portfolio

Opportunities

- Expansion from mass market to chronic and super specialty
- Leveraging on BSVs R&D capabilities

Threats

- Competitive pricing pressures
- Regulatory hurdles

INTERNAL CONTROL SYSTEMS

The Company has established a robust internal control framework fostering a culture of ethics and integrity while ensuring effective and efficient business operations, protection of assets from unauthorised uses or losses, prevention of fraud, reduction in errors, and compliance with regulatory standards. This framework includes financial, operational and regulatory controls commensurate with the size and complexity of the business. The internal control framework also ensures accuracy and completeness of the accounting records and timely preparation of reliable financial information.

With a view to ensure adequate controls are in place, the framework is regularly evaluated for its effectiveness. An audit committee monitors the robustness of the control

systems and reports its findings to the Management. Investment in state-of-the-art information systems security is prioritised to safeguard sensitive data and prevent cybersecurity threats. The framework is essential to ensure compliance with internal policies, and all applicable laws and regulations.

RISK MANAGEMENT

The comprehensive Risk Management framework is responsible for safeguarding the business from potential internal and external risks. The framework enables us the Company to monitor and discover various risk factors and initiate appropriate well-defined measures to counter the same. The Board has constituted a Risk Management Committee to manage various organisational risks. The Committee devises and executes adequate mitigation plans in response to any risks. The Committee closely monitors changes in internal and external environments to predict the emergence of a new threat/risk. Such risks are specific to the business and encompass financial, operational, sectoral, cybersecurity, sustainability-related risks (especially those involving ESG) and more. The Company has in place various mitigation strategies planned to tackle any such risk to the Company's operations and performance.

To read more about this, please read the Risk Management chapter on page 60

The Board has constituted a Risk Management Committee to manage various organisational risks. The Committee devises and executes adequate mitigation plans in response to any risks. emergence of a new threat/risk.



FINANCIAL REVIEW

Consolidated

Revenue

Revenue from operations has increased to ₹ 12,207 crore from ₹ 10,260 crore in FY2024. The growth in revenue of 19.0% was primarily due to growth in our base business supported by consolidation of acquired BSV business w.e.f. October 23, 2024 onwards.

The Domestic business has shown a growth of 13.0% y-o-y to ₹ 10,675 crore with Organic growth of 9.4% y-o-y and balance growth on account of Consolidation of BSV domestic business. This was the first year of the OTC business, post carving out the same into wholly-owned subsidiary of Mankind to maximise its true potential. Revenue from OTC business has increased by 14.6% to ₹ 809 crore largely led by healthy performance across key brands.

The international business has witnessed revenue growth of 88.4% y-o-y to ₹ 1,532 crore with Organic growth of 36.9% y-o-y and balance growth is supported by consolidation of acquired BSV's International portfolio.

EBITDA

EBITDA increased to ₹ 3,030 crore up by 19.8% in FY2025. The EBITDA margins expanded by 20 basis points to a healthy 24.8% in FY2025 as compared to 24.6% in FY2024. Adjusted EBITDA margin (excluding non-recurring expenses, especially related to the acquisition) expanded by 130 basis points to a healthy 25.9% in FY2025 as compared to 24.6% in FY2024. The increase

in Adjusted EBITDA margins is mainly attributable to increase in gross margin by 260 basis points a part of it has been offset by increase in other expenses.

Employee Cost

Employee cost increased by 19.1% to ₹ 2,692 crore in FY2025 as compared to ₹ 2,261 crore in FY2024. The increase is mainly due to annual increments, Increase in employee headcount and consolidation of acquired BSV business w.e.f. October 23, 2024 onwards.

Depreciation and Amortisation

Depreciation and amortisation expenses has increased to ₹ 621 crore as compared to ₹ 378 crore in FY2024. The increase is primarily due to depreciation and amortisation expense impact of ₹ 194 crore towards tangibles and intangibles assets recognised pursuant to provisional purchase price analysis related to BSV acquisition.

Finance Cost

Finance costs were up by ₹ 397 crore y-o-y to ₹ 429 crore pursuant to increase in debt taken during the year to fund the BSV acquisition out of which ₹ 3,000 crore was repaid by January 2025.

PBT and PAT

The PBT has increased to ₹ 2,516 crore in FY2025 from ₹ 2,398 crore in FY2024 up by 4.9% and PAT has increased to ₹ 2,007 crore in FY2025 from ₹ 1,941 crore in FY2024 up by 3.4%. The growth is primarily driven by increase in EBITDA and Other income, this has been partly offset by higher Depreciation and Finance cost.



1. Financials are for continuing operations only

Earnings Per Share

The basic and diluted EPS for FY2025 has been ₹ 49.2 & ₹ 49.1 respectively as compared to ₹ 47.7 & ₹ 47.7 respectively in FY2024.

Other Intangible Assets

Other intangible assets increased to ₹ 9,604 crore in FY2025 from ₹ 1,588 crore in FY2024. This increase is primarily due to intangible assets recognised pursuant to provisional purchase price analysis related to BSV acquisition.

Trade Receivables

Trade receivables have increased to ₹ 1,538 crore in FY2025 from ₹ 848 crore in FY2024. The increase is

primarily attributed to growth in Sales and consolidation of BSV business acquired during the year.

Borrowings – Current and Non-Current

Borrowings – Current and Non-Current has increased to ₹ 8,483 crore in FY2025 from ₹ 196 crore in FY2024 up by ₹ 8,287 crore. The increase is primarily due to issuance of Non-convertible Debentures and Commercial Papers during the year.

Trade payables

Trade payables has increased to ₹ 1,133 crore in FY2025 from ₹ 777 crore in FY2024 up by 46%. The growth is in line with business growth & consolidation of BSV business acquired during the year.

Financial Performance

Mankind Pharma Limited (MPL) consummated the acquisition of Bharat Serums & Vaccines Limited (BSV) with effect from October 23, 2024. Consequently, the consolidated financial statements of MPL for the financial year 2024-25 incorporate BSV's financial results from the acquisition date.

Particulars (In ₹ crore) ¹	Standalone		Consolidated	
	2024-25	2023-24	2024-25	2023-24
Revenue from operations	9,498	8,629	12,207	10,260
EBIDTA	2,563	2,266	3,030	2,529
EBIDTA Margins (in %)	27.0%	26.3%	24.8%	24.6%
Profit before Tax	2,306	2,185	2,516	2,398
Profit after Tax	1,884	1,773	2,007	1,941
Basic EPS (in ₹)	46.6	44.3	49.2	47.7
Diluted EPS (in ₹)	46.6	44.2	49.1	47.7
Cash EPS (in ₹) ²	56.3	53.1	64.4	57.1

¹ FY2025 and FY2024 P&L items are for continuing operations only.

² Cash EPS is calculated as (Profit for the year attributable to equity holders + Depreciation, Amortisation and Impairment) / Weighted average number of Equity Shares)

Key Financial Ratios

Ratios (Consolidated)	FY25	FY24	Explanation
Debtors Turnover (no. of days)	35.45	25.16	Note-1
Inventory Turnover (no. of days)	190.23	173.53	
Interest Coverage Ratio (times)	5.61	65.66	Note-2
Current Ratio (times)	1.23	3.10	Note-3
Debt Equity Ratio (times)	0.59	0.02	Note-4
Operating Profit Margin (%)	24.8%	24.6%	
Net Profit Margin (%)	16.3%	18.6%	
Return on Net Worth (%)	13.9%	20.4%	Note-5

Note - 1 Debtor turnover ratio is higher due to consolidation impact of BSV which have extended credit period for International business.

Note - 2 Interest coverage ratio is lower due to increase in finance cost on account of acquisition-related debt.

Note- 3 Decrease in Current ratio during FY2025 due to increase in current liabilities on account of Current Borrowings.

Note- 4 Increase in Debt equity ratio in current year due to issuance of Non-Convertible Debentures and commercial papers during the year.

Note - 5 Decrease in Return on Net worth during FY2025 due to increase in Equity during the year.

STRATEGIC OUTLOOK

The year gone by was a transformative year for the Company with the successful integration of BSV and stabilisation of all business segments. For future growth, the company has chalked out a comprehensive growth strategy:

Increasing prescription value in existing market

- Increase CVM share through new launches and market diversification
- Adopt a volume-driven approach
- Scale up existing brands

Increasing share of chronic segment

- Grow its presence in existing therapies and expanding into new therapies like CNS, Transplant, and Urology

Expanding towards super specialty portfolio

- Expand into fertility, biologics, and critical care inorganically
- Build expertise in complex and specialty therapies to address unmet medical needs

Grow consumer healthcare business

- Grow consumer healthcare portfolio by leveraging existing strong brand equity, adding distribution models – such as modern trade, e-commerce, and Q-commerce, and executing Rx to OTx to OTC switches like HealthOK

Increase penetration in Metros/Tier I cities

- Expand international DMF quality API by introducing DMF quality medicines at Indian prices
- Increase penetration in Tier I cities by engaging with key opinion leaders, hospital tie-ups, and specialty division launches

Continue to develop digital platforms to enhance doctor engagement

- Continue to develop digital platforms to enhance doctor engagement medical content
- Work on the launch of next-generation AI-based Sales Force Automation Tool

To read more about this, please read the Strategy chapter on page 34

CAUTIONARY STATEMENT

The statements may contain forward-looking statements like the words 'believe', 'expect', 'anticipate', 'intend', 'plan', 'estimate', 'project', 'will', 'may', 'targeting' and similar expressions regarding the financial position, business strategy, plans, targets and objectives of the Company. Such forward-looking statements involve known and unknown risks that may cause actual results, performance, or achievements to be materially different from results or achievements expressed or implied. The risks and uncertainties inter-alia, relating to these statements include (i) cash flow projections, (ii) industry and market conditions; (iii) ability to manage growth; (iv) competition; (v) Government policies and

regulations; (vi) obtaining regulatory approvals; (vii) domestic and international economic conditions such as interest rate and currency exchange fluctuations; (viii) political, economic, legal and social conditions in India/ elsewhere; (ix) technological advances; (x) claims and concerns about product safety and efficacy; (xi) domestic and foreign healthcare reforms; (xii) inability to build production capacity; (xiii) unavailability of raw materials and failure to gain market acceptance. The Company shall not have any responsibility or liability whatsoever for any loss howsoever arising from this report, or its contents or otherwise arising in connection therewith.

Board's Report

DEAR MEMBERS,

Your Directors are pleased to present the 34th Annual Report on the business and operations of Mankind Pharma Limited (“Company”/ “Mankind”) along with the Audited Standalone and Consolidated Financial Statements for the financial year ended on March 31, 2025 (“FY 2024-25”).

1. FINANCIAL RESULTS

Key highlights of the financial results of your Company for FY 2024-25 are as under:

Particulars	Consolidated		Standalone	
	2024-25	2023-24	2024-25	2023-24
Revenue from continuing operations	12,207.44	10,260.44	9,497.80	8,629.25
Profit before Depreciation and Tax from continuing operations	3,137.55	2,776.36	2,684.00	2,520.46
Less: Depreciation and amortization expense from continuing operations	621.22	378.42	378.01	335.26
Profit before tax from continuing operations	2,516.33	2,397.94	2,305.99	2,185.20
Less: Tax expenses from continuing operations	509.74	457.15	421.74	412.57
Profit after tax from continuing operations	2,006.59	1,940.79	1,884.25	1,772.63
Profit after tax from discontinued operations	4.53	0.98	61.23	103.53
Total other comprehensive income/(loss) for the year	(8.29)	(8.02)	4.98	(6.66)
Total comprehensive income for the year	2,002.83	1,933.75	1,950.46	1,869.50
Attributable to:				
- Equity holders of the parent	1,982.84	1,904.68	1,950.46	1,869.50
- Non-controlling interests	19.99	29.07	-	-
Opening balance of Retained Earnings	9,918.83	8,012.20	9,763.97	7,894.47
Closing balance of Retained Earnings	11,907.32	9,918.83	11,714.43	9,763.97

The standalone, as well as the consolidated financial statements, have been prepared in accordance with the provisions of the Companies Act, 2013 (“the Act”), Indian Accounting Standards (“Ind AS”) and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”).

Operational Performance and State of Company's Affairs:

The Company is engaged in the development, manufacturing, and marketing of a diverse portfolio of pharmaceutical formulations across various acute and chronic therapeutic areas. With a strong focus on the domestic market, revenue from operations in India accounted for 87% of the total consolidated operational revenue for the financial year 2024-25. Operating at the intersection of the Indian pharmaceutical formulations and consumer healthcare sectors, the Company is committed to delivering high-quality products at affordable

prices and has demonstrated a proven track record of successfully building and scaling brands in-house. During the year, with the acquisition of Bharat Serums and Vaccines Limited (“BSV”), the Company has further expanded its presence in complex super specialty innovation-led therapy areas. The Company continued to outperform the Indian Pharma Market (“IPM”) in chronic segments. The operational performance of your Company has been comprehensively discussed in the Management Discussion and Analysis Section, which forms part of this Annual Report.

Standalone:

- The revenue from continuing operations for FY 2024-25 was ₹ 9,497.80 crores, up 10.07% YoY from ₹ 8,629.25 crores for FY 2023-24.
- Profit after tax from continuing operations for FY 2024-25 was ₹1,884.25 crores up 6.30% YoY from ₹1,772.63 crores in FY 2023-24.

- EBIDTA margin of 26.98% in FY 2024-25 as against EBIDTA margin of 26.26% in FY 2023-24.

Consolidated:

- The revenue from continuing operations for FY 2024-25 was ₹12,207.44 crores, up 18.98% YoY from ₹10,260.44 crores in FY 2023-24.
- Profit after tax for FY 2024-25 was ₹2,006.59 crores up 3.39% YoY from ₹1,940.79 crores in FY 2023-24.
- Registered improvement in EBIDTA margin of 24.82% in FY 2024-25 as against EBIDTA margin of 24.65% in FY 2023-24.

2. DIVIDEND

In accordance with the Regulation 43A of the Listing Regulations, the Board of Directors (“Board”) of Company has formulated and adopted the Dividend Distribution Policy, which outlines the key principles guiding the Board and the management in matters relating to declaration and distribution of dividend. The Dividend Distribution Policy is available on the website of the Company at <https://www.mankindpharma.com/wp-content/uploads/2025/06/Dividend-Distribution-Policy.pdf>. In light of the Company's focus on re-investment in growth, the Board does not recommend the payment of any dividend for FY 2024-25.

3. PUBLIC DEPOSITS

During the financial year under review, your Company has not accepted any deposits falling within the meaning of Chapter V of the Companies Act, 2013 read with the Rule 8(5)(v) of Companies (Accounts) Rules, 2014.

b. Paid-up Share Capital:

Particulars	No. of Equity Shares	Face Value (₹)	Paid-up Share Capital (₹)
Paid-up share capital as on April 01, 2024	40,05,88,440	1/-	40,05,88,440
Equity shares allotted under ESOP 2022 during FY 2024-25	85,326	1/-	85,326
Equity shares allotted pursuant to Qualified Institutional Placement	1,19,04,761	1/-	1,19,04,761
Paid-up share capital as on March 31, 2025	41,25,78,527	1/-	41,25,78,527

The Company's shares are compulsorily tradable in electronic form. As on March 31, 2025 and as on the date of this report, the entire paid-up capital, representing 41,26,71,039* (Forty-One Crore Twenty-six Lakh Seventy-One Thousand and Thirty Nine) equity shares, is held in dematerialized form.

*Includes 92,512 equity shares allotted by the Company on May 21, 2025 upon exercise of options by the employees of the Company pursuant to Mankind Employee Stock Option Plan 2022, after the closure of reporting period.

4. CHANGE IN SHARE CAPITAL

a. Authorised Share Capital

Following the approval of the Members through Postal Ballot resolution passed on June 17, 2024, the authorised share capital of the Company was increased from ₹ 41,35,00,000/- (Rupees Forty-One Crores Thirty-Five Lakh only) divided into 41,35,00,000 (Forty-One Crores Thirty-Five Lakh) equity shares of ₹ 1/- (Rupee One only) each to ₹ 60,00,00,000/- (Rupees Sixty Crores only) divided into 60,00,00,000 (Sixty Crores) equity shares of ₹ 1/- (Rupee One only) each.

Furthermore, pursuant to the Scheme of Arrangement (“Scheme”) for amalgamation of Shree Jee Laboratory Private Limited, JPR Labs Private Limited and Jaspack Industries Private Limited (“Transferor Companies”) with Mankind Pharma Limited (“Transferee Company”/ “the Company”) and their respective shareholders and creditors which became effective on March 29, 2025, from the Appointed Date of April 01, 2024, as approved by the Hon'ble National Company Law Tribunal (“NCLT”), New Delhi Bench, vide order dated February 25, 2025, the authorised share capital of the Company was increased from ₹ 60,00,00,000/- (Rupees Sixty Crores only) divided into 60,00,00,000 (Sixty Crores) equity shares of ₹ 1/- (Rupee One only) each to ₹ 4,21,51,00,000/- (Rupees Four Hundred Twenty-One Crores Fifty-One Lakhs only) divided into 2,27,78,60,000 (Two Hundred Twenty-Seven Crores Seventy-Eight Lakhs Sixty Thousand) Equity Shares of ₹ 1/- (Rupee One only) each and 19,37,24,000 (Nineteen Crores Thirty Seven Lakhs Twenty Four Thousand) 0.01% Optionally Convertible Non-Cumulative Redeemable Preference Shares of ₹ 10/- (Rupees Ten only) each.